China: Analysing the appeal of CGB asset swaps

KEY MESSAGES

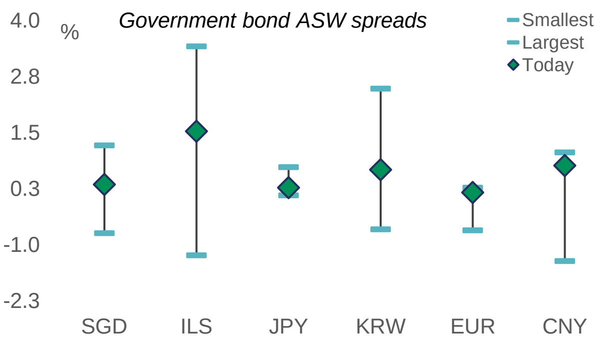
We believe China government bond asset swaps are appealing thanks to: 1) excessive local outbound FX-hedged investments; 2) exporters' USD offering in the forward space; and 3) central bank policy support, state banks' forward intervention and the 20% corporate RHS risk reserve ratio. USD shortage has also been an influence, but China is not experiencing a typical external debt or BoP crisis led USD shortage.

Looking forward, Fed cuts and QT tapering might ease USD liquidity and FX swap pricing, while China's easing expectations and fiscal policy changes could affect onshore bond yields. Any hint that the authorities might remove the risk reserve ratio could lift onshore FX swap versus the offshore spread, in our view. But as long as the RMB is a financing currency, we believe an opportunity exists.

Special opportunity in China? Outbound investment by local investors, exporters' steady offering in the forward space and central bank policy support and shadow forward intervention are turning the low-yielding Chinese government bonds into high-yielding USD bonds with little exposure to Federal Reserve policy risk, in our view.

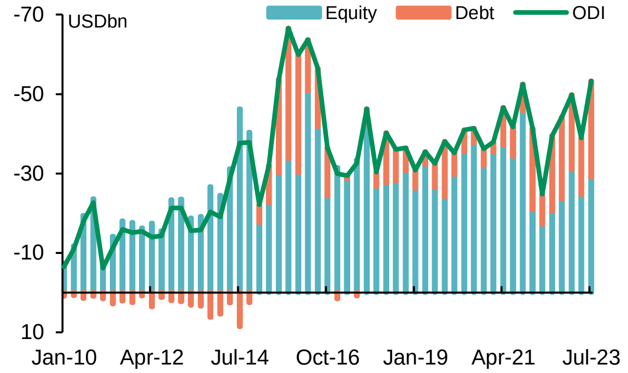
Excessive outbound investment by local investors with FX hedges: China has seen significant investment flowing out in recent years in both overseas direct investment and portfolio investment. ODI has risen as the RMB has undergone internationalisation. Activity in the equity market has been rather muted. Northbound Stock Connect only recorded net buying when there was news about policy rescue after consecutive net selling at the beginning of 2024. The Chinese bond market has been an outlier since mid-2022. While many global central banks raised rates, China was on another route with minor rate cuts. Due to negative carry disadvantages, domestic investors have been more inclined to invest abroad, some with FX risks hedged. A temporary tightening of onshore RMB funding due to fiscal supply and central bank FX stability concerns aggravated this widening of CGB/CDB/NCD versus onshore FX implied yield spread in November last year. There was some reversal in December due to extra liquidity required for the new year, but SOFR plus +77bp remains attractive, in our view, and offers much higher returns than outright CGBs.

Fig. 1: CGB ASWs seeing record gains and rank second



Sources: Bloomberg, BNP Paribas
Spread = 1y government bond – 1y forward implied yield
Data from 2018 to YTD (24 January 2024): foreigners have only been allowed to access China onshore forwards since 2017-2018.

Fig. 2: ODI is on upward trend with more investment in debt instruments



Sources: SAFE, BNP Paribas

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Local exporters steady offering in forwards: On the demand side, exporters often use forward contracts to hedge against currency risk. As an export-oriented economy, China has considerable demand for longer-dated FX hedging each year, which has effectively lowered FX forward implied yield. As China has recently opened up the onshore bond and FX swap markets to global investors, such opportunities can be utilised, in our view.

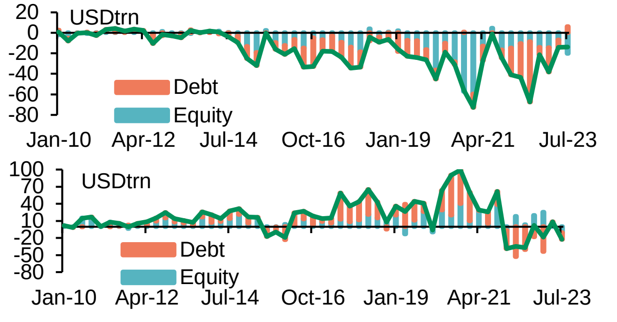
Due to trade frictions and changes in the international currency market, there have been signs of pro-cyclical fluctuations in the FX market. To prevent macroeconomic financial risk, promote sound operation of financial institutions and strengthen macro-prudential management, the People's Bank of China has set the risk reserve requirement on FX forward sales at 20%. While this means that the estimated cost of forward USD buying could be raised by 600-700pips for the corporates, foreign intuitional FX swap transaction to hedge underline portfolio assets are exempt from it. As such, the extra 600-700pips gain is likely to spur foreign interest.

Central bank forward intervention: Chinese state banks have also learned forward intervention tactics after the RMB devaluation shocks of 2015-16, and such deviation between onshore and offshore FX swaps and the onshore rates market was seen in 2015-16, 2018 and 2022-23 (squeezing CNH funding whereas depressing onshore forward). These shadow interventions would be likely to entice foreigners to offer USD to onshore market. In China's case, this could help Chinese corporates and overseas branches of local banks re-cycle some of the excess USD sitting in the offshore market.

How it works in general: Asset swaps are contracts in which the buyer of the bond agrees to pay fixed coupons to the swap seller equal to the fixed-rate coupons received from the bond and receives variable rate payments of SOFR plus (or minus) an agreed-upon fixed spread in return, even in the event of default. In this way, the swap buyer has transformed its original risk profile by changing both its interest rate and credit risk exposure.

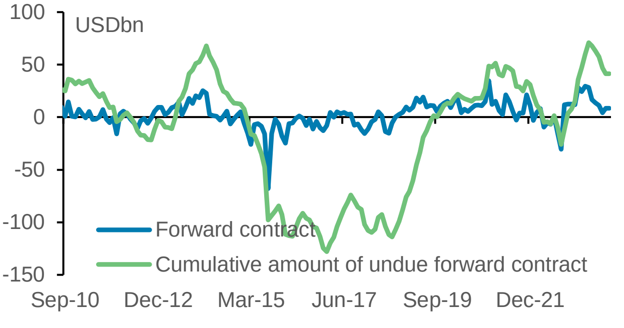
ASW opportunities are essentially caused by market segmentation and uneven distribution of different funding sources and prices. Whenever FX implied yield falls below onshore interbank rates, it offers opportunities for foreigners to take the other side of the trade by S/B USDCNY FX swap, effectively offering USD funding to onshore market to enjoy the price gap. Apart from the three reasons above, USD shortages are also another main reason for ASW to see returns, although this does not really apply to China in a fundamental way.

Fig. 3: Portfolio investment breakdown by asset class



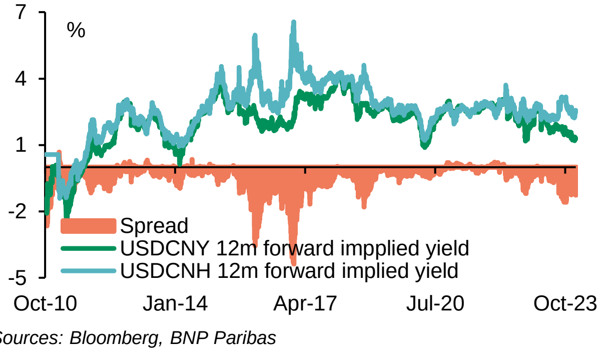
Sources: SAFE, BNP Paribas

Fig. 4: Exporters typically use forwards to hedge FX risk



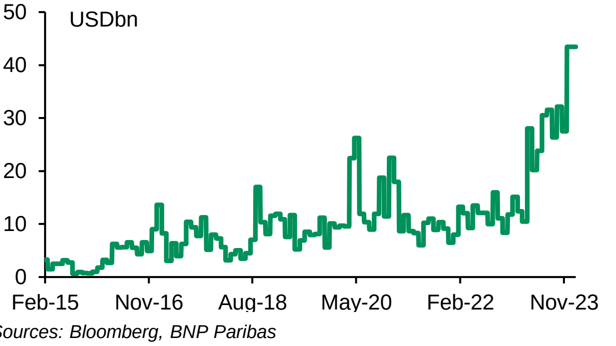
Sources: Bloomberg, BNP Paribas

Fig. 5: Deviation between onshore and offshore FX swaps after central bank's intervention



Sources: Bloomberg, BNP Paribas

Fig. 6 China onshore FX swaps volume has increased significantly since last year-end



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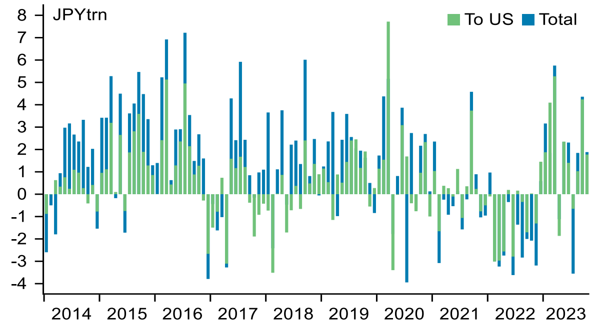
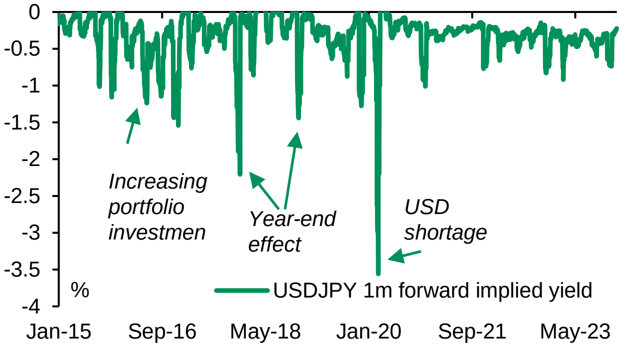
Outbound investment by locals: FX swaps are a popular channel for either overseas direct investment or portfolio investment. However, on top of divergent monetary policies, the reliance on FX swap funding tends to depress FX swaps. Japan is a good example. The BoJ has maintained a substantial monetary easing stance since 2013, but in contrast the Fed began to tighten with tapering and entering an interest-rate hike cycle. This divergence in the outlook for monetary policy affects the return-seeking behaviour of financial institutions and investors. The nominal return on USD-denominated assets became higher than the return on JPY-denominated assets, so Japanese financial institutions and investors increased their investment in USD-denominated assets. The same could be seen when the ECB eased rates massively. When banks invest in assets denominated in foreign currencies, they often hedge the FX risk due to the potential high capital cost of the foreign currency risk. Such an FX-hedged USD asset investment is the economic equivalent of a transaction to purchase USD assets through an FX swap, using JPY or EUR as collateral.

Fig. 7: Japan increased its portfolio investment to US when monetary policies were diverging



Sources: Macrobond, BNP Paribas

Fig. 8: USDJPY forward implied yield dropping due to increasing outbound investment in 2016



Sources: BNP Paribas

EM central bank forward operation with state bank shadow intervention: Forward markets are tempting targets for central bank intervention. A growing number of EM central banks have used forward intervention either in lieu of, or to supplement, spot market interventions. Among emerging markets, the Central Bank of Brazil is perhaps the most experienced in this regard with its famous D-NDFs, but other major central banks, including those of Indonesia, Mexico and Peru, have been increasingly active in forward markets (see IMF). These were intended not only to keep the spot exchange rate from strengthening too much but also to respond to a rising demand for the local currency in the forward market, in some cases from carry trade investors. In conducting forward operations, the central banks were also mindful of the effect on the implied USD interest rate available to domestic investors who borrow in local currency to obtain dollars and repurchase the domestic currency in the forward market to close out the loan. Under CIP this rate should equal the USD interest rate at the appropriate term, although in practice, this has never been the case; the implied USD interest rate has always been higher than the onshore USD interest rate, which means that local currency has been stronger in the forward market than would be implied by the covered interest parity (CIP). By purchasing USD forward during periods of capital inflows, the central banks could reduce the differential between onshore and offshore USD interest rates.

For export-oriented countries, this demand arises largely from exporters (South Korean shipbuilders, for example) who also wish to match USD revenues from sales abroad to their local-currency production costs. The forward contracts they purchase are sold by domestic banks, who match the resulting long forward USD positions by borrowing USD in the spot market from foreign banks. During the financial crisis when foreign banks were temporarily unwilling to lend USD, the deviation from CIP intensified, which left the local currency much stronger in the forward market than would be implied by CIP. This deviation was apparent to see in Korea, but was not easily explorable in Taiwan and China previously due to limited foreign access to onshore fixed income markets. Regardless, the sale of USD swaps could have the effect of filling spot market demand for USD while reducing the deviation from CIP. Selling USD forward would induce equivalent capital inflows to onshore but does not cost reserves. Overall, forward intervention tends to secure spot but depress the forward curve, which would enhance the attractiveness for foreigners to offer USD to the onshore markets.

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USD shortage: Whenever the global banking sector faces rising credit risk, such as during recession, financial crisis or extraordinary shocks such as Covid, raising USD holdings are still the go-to option for banks to avoid risk. A shortage of USD would result in FX implied USD yield rising much higher than LIBOR or SOFR. We witnessed this in the global financial crisis, Icelandic banking crisis and European credit crisis; Meanwhile, quarter-end and year-end effects tend to aggravate these moves.

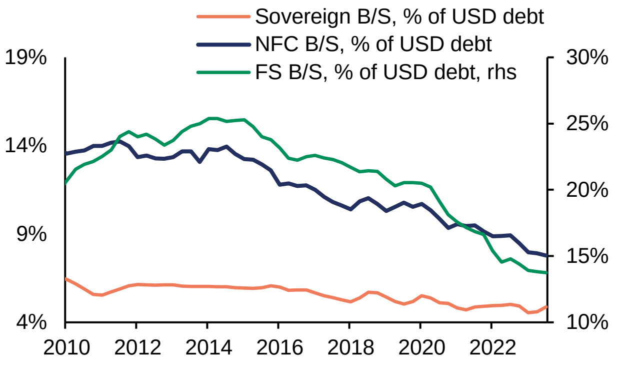
Real-money investors are also decreasing their USD supply. Foreign reserves managers and sovereign wealth funds in emerging countries might have recently become reluctant to supply USD in the FX swap market (see *Global flows 3.0: De-dollarization*, dated 15 December). This has seemed to occur because of the depreciation of EM currencies, commodity prices and geopolitical issues. Foreign reserves managers may be more incentivised to invest in liquid USD-denominated assets due to the inverted curve instead of supplying USD via longer-term FX swaps when they need to intervene in the FX market to protect the weaker currency.

China is not experiencing an external debt driven USD shortage. Firstly, China has a considerable amount of current account surplus. Secondly, China did not add additional external debt after 2014, and has been replacing USD denominated external debt with RMB denominated debt. Onshore banks actually have boosted their foreign portfolio investments and reduced liabilities in recent years. With the progress of RMB internationalization, China is trying to minimize the impact of the USD on its own market (see *RMB: 10 key questions for 2024*, dated 10 November 2023).

Will this opportunity last for China? Looking forward, Fed cuts and tapering might ease USD liquidity and FX swap pricing, but it takes years for the USD's carry advantage to ease vs. Asian savers. Meanwhile, although MLF and LPR maintaining the same has disappointed the market, the expectations for easing remains (see *PBoC: Pause does not rule out more easing ahead*, dated 15 January 2024). China's easing expectations and fiscal policy changes could affect onshore bond yields. A potential removal of the 20% risk reserve ratio (which happened before when RMB depreciation pressure eased) could lift the onshore FX swap versus offshore swap and reduce such pricing difference led investment opportunities.

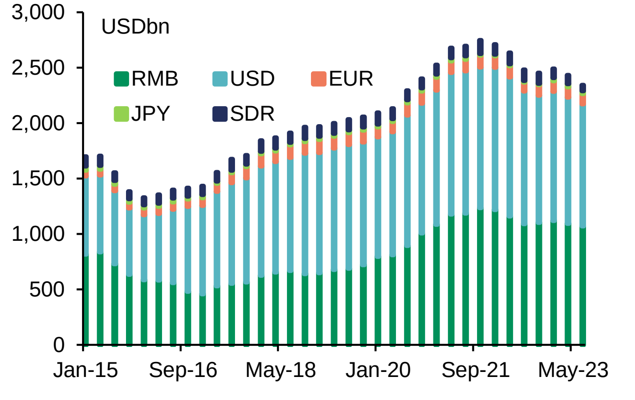
Since the RMB internationalization is a structural change, PBoC's intention to maintain a stable nominal exchange rate will stay. As long as the RMB is a financing currency, the opportunity exists in our view.

Fig. 9: USD denominated debt as % of total EM debt



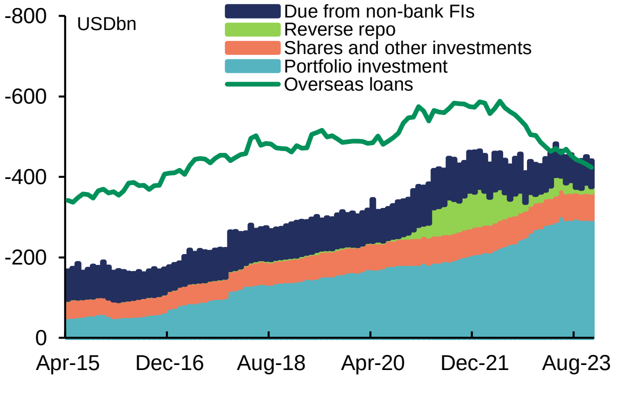
Data for Argentina, Brazil, Chile, China, Colombia, Czech Republic, Hong Kong, Hungary, India, Indonesia, Israel, Korea, Malaysia, Mexico, Peru, Poland, Russia, Saudi Arabia, Singapore, South Africa, Thailand and Turkey.
Sources: IIF, BNP Paribas

Fig. 10: China's external debt gradually decreased and less is denominated in USD



Sources: Macrobond, BNP Paribas

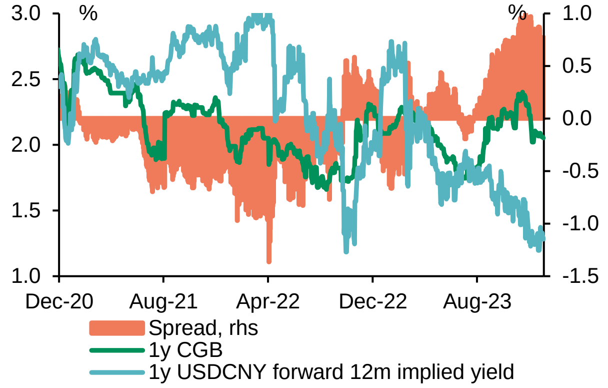
Fig. 11: Onshore banks' net FX assets have climbed



Sources: Macrobond, BNP Paribas

Global ASW returns comparison

Fig. 12: CGB ASW



Sources: Bloomberg, BNP Paribas

Fig. 13: SIGB ASW

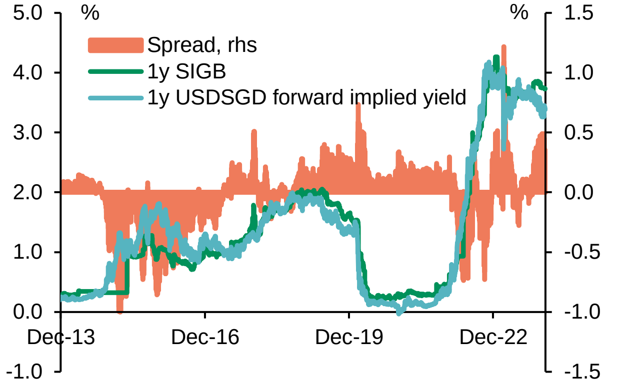


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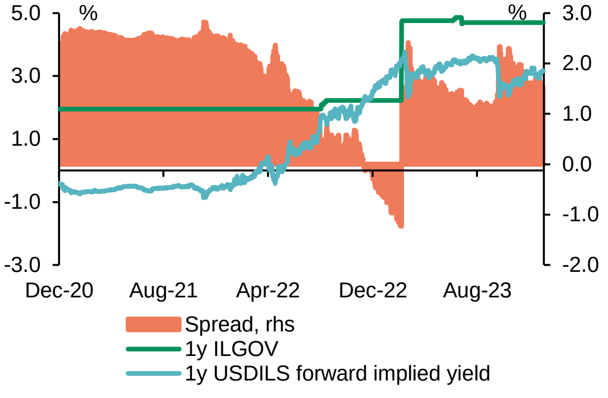
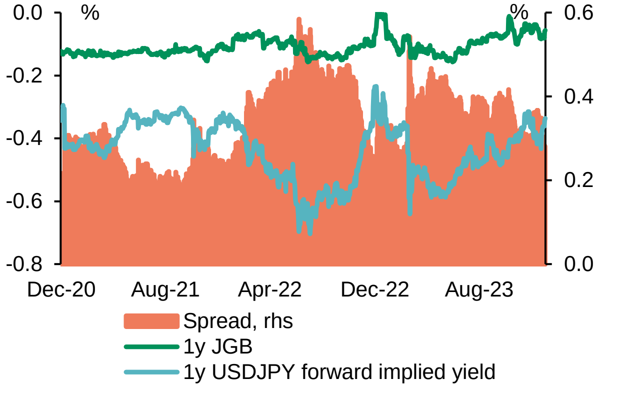
Fig. 14: ILGOV ASW



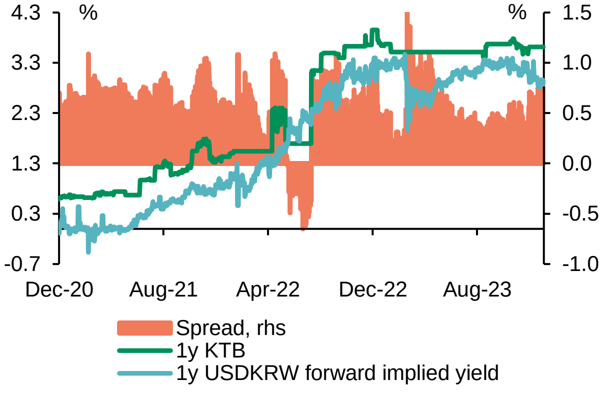
Sources: Bloomberg, BNP Paribas

Fig. 15: JGB ASW



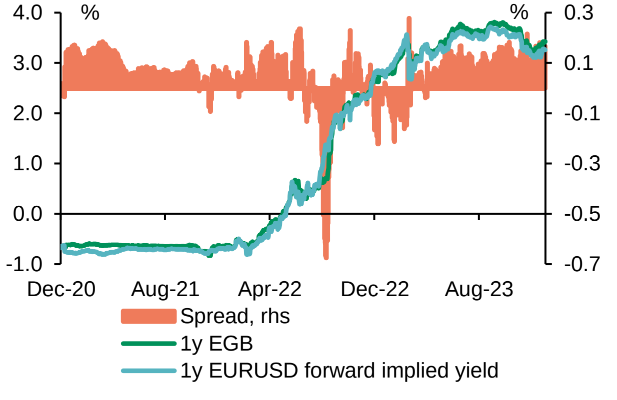
Sources: Bloomberg, BNP Paribas

Fig. 16: KTB ASW



Sources: Bloomberg, BNP Paribas

Fig. 17: EGB ASW



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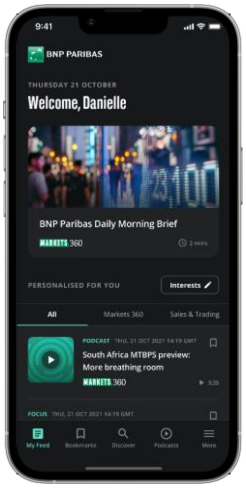

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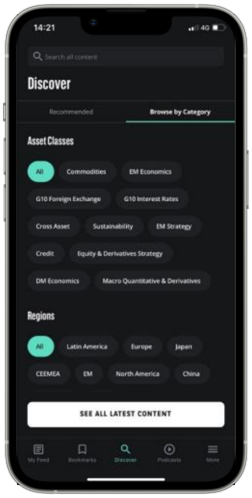

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